Concept 1 - Introduction to The Banking Regulation Act, 1949

The Banking Regulation Act, 1949 is a key central legislation in India, enacted under the authority of Entry 45 of the Union List. It regulates all banking institutions across the country and initially applied only to banking companies. This Act establishes a robust framework for the supervision and regulation of commercial banking in India, complementing the Companies Act, 1956.

The Act gives the Reserve Bank of India (RBI) the power to license banks, supervise appointment of the boards and management, Supervise banking operations and audits, Issue directives for public good and banking policy, impose penalties for non-compliance, etc.

Concept 2 - Forms of business in which Banking Companies may engage (Section 6)

Banking means accepting deposits of money from the public for the purpose of lending or investment which are repayable on demand or otherwise and withdrawable by check draft order or otherwise. This section provides that a Banking Company may engage in addition to the business of banking, a list of activities as detailed below:

a) May undertake and execute trusts: A banking company may undertake and execute trusts, acting as a trustee for individuals or organizations.
b) May undertake the administration of estates: A banking company may manage estates, acting as administrator for the estate of deceased persons or for other purposes.
c) May establish and support associations for employees' welfare: A banking company may establish, support in the creation of associations, institutions, funds, etc for the benefit of its employees.
d) May acquire, construct, maintain, and alter buildings: A banking company may acquire any building or infrastructure necessary for conducting its business or other purposes.
e) May sell or deal with its property: A banking company may sell, improve, manage, develop, exchange, lease, mortgage, dispose of, or otherwise deal with any of its properties.
f) May take over the business of another entity: A banking company may acquire the whole or part of the business of any person or company, provided the business is related to banking
g) May engage in incidental or related activities: A banking company may carry out any activity that is incidental to the promotion of its core business operations.
h) A banking company may engage in any other form of business, provided it is deemed lawful by the Central Government through official notification or specification.

Concept 3 – Board of Directors of Banking Company

a) Every banking company must ensure not less than 51% of the total number of Board of Directors consists of individuals with specialized knowledge or practical experience in fields such as accountancy, finance, law, etc, or any other area deemed useful by the RBI.
b) Of these directors, at least 2 must have special knowledge or experience in agriculture and rural economy and small-scale industry, and they may be associated with small industrial concerns.
c) The directors of a banking company, excluding the Chairman and Whole-Time Directors (WTD), shall serve for a term of 8 years.
d) Directors shall not face any conflict of interest with connected parties.
e) The RBI has the authority to order the reconstitution of the Board of any bank if necessary.

f) The removal of any director can be appealed to the Central Government, and there must be no common director across different banks.

Concept 4 - Chairman of Banking company

Section 10B: Banking Company to be Managed by Whole-Time Chairman

a) Every banking company must have one of its Directors appointed as the Chairman of the Board of Directors.
b) The Chairman can be appointed on either a whole-time or part-time basis.
c) When appointed on a whole-time basis, the Chairman will manage the entire affairs of the banking company, subject to the supervision and control of the Board of Directors.
d) If the Chairman is appointed on a part-time basis, the management will be entrusted to a Managing Director (MD).
e) Both the Chairman and the MD must be appointed with RBI approval, and the tenure for such approval is for 5 years.

Section 10BB: Power of RBI to Appoint Chairman or MD

a) If the position of a whole-time Chairman or Managing Director is vacant, the Reserve Bank of India (RBI) has, if it is of opinion that the continuation of such vacancy is likely to adversely affect the interests of banking company appoint a person eligible to be so appointed to be the chairperson of the board of directors appointed on a whole time basis or a managing director of the banking company.
b) If the appointee is not already a Director, they will be deemed a Director for as long as they hold the position.
c) The Chairman of the Board of Directors in a banking company shall hold office for 5 years.

Concept 5 - Minimum paid up capital and reserves (Sections 11 & 12)

Requirements for banking companies:

a) Subscribed capital must be at least 50% of the authorized capital.
b) Paid-up capital must be at least 50% of the subscribed capital.
c) When capital is increased, this ratio can be maintained within a maximum period of 2 years or as per RBI guidelines.

The shares of the banking company can either be equity or preference. However, beyond statutory capital requirements, banks now focus on Capital Adequacy Ratios (CAR), especially to manage Non-Performing Assets (NPA).

The Basel Committee guidelines, particularly the Basel III Recommendations, are relevant to Indian banks. These guidelines ensure the capital adequacy of banks to protect against risks, ensuring financial stability.

Key features of Basel III include:

a) Three Pillars of Capital Structure:
   - Minimum Capital Requirements based on risk-weighted assets (RWAs) to cover risks.
   - Supervisory Review Process to manage peripheral risks.
   - Market Discipline to increase transparency by requiring disclosures from banks.

b) Banks must maintain capital quality and buffers, along with Minimum Common Equity Tier I (CET1) and Tier II capital.

c) By January 1, 2019, Indian banks must comply with Basel III norms, ensuring a minimum total capital of 9% of RWAs.

Concept 6 - Limiting the payment of dividends (Section 15)

Prohibits every banking company from paying any dividend on its shares unless it has completely written off the capitalized expenses such as Preliminary Expenses, Brokerage and Commission on issue of shares, etc.

However, a banking Company may pay dividend, without writing off the following:

a) The depreciation in value of investments in approved securities which has not been actually capitalized.

b) The depreciation in value of investments in shares, debentures, bonds (other than approved securities) where adequate provision has been made, and approved by the company's auditor.

c) The bad debts where the provision has been made, and approved by the auditor.

d) All dividend payments require specific approval from the Reserve Bank of India.

Concept 7 - Section 17, 18 & 19 of the Banking Regulation Act, 1949

7.1 Transfer to Reserve Fund (Section 17)

a) Banking companies incorporated in India must transfer at least 20% of their annual profit to the reserve fund, unless the reserve fund (with share premium) equals or exceeds the company's paid-up capital.

b) This requirement can be waived by the Central Government based on the RBI's recommendation.

c) Any appropriation from the reserves must be reported to the RBI within 21 days, with reasons.

d) Additionally, all scheduled commercial banks, including foreign banks in India, must transfer a minimum of 25% of net profit to the reserve fund.

7.2 Maintenance of Cash Reserve by Non-Scheduled Banks (Section 18)

Non-scheduled banks are required to maintain a cash reserve in India, either with themselves or in current accounts with the RBI, State Bank of India, or other notified banks. The reserve should be equivalent to at least 4 % of the total time and demand liabilities, and must be maintained on a daily basis. Non-scheduled banks must report compliance by the 20th of each month.

7.3 Restrictions on the Nature of Companies (Section 19)

Imposes restrictions on banking companies regarding the formation of subsidiary companies and the holding of shares in other companies. Banking companies are not permitted to acquire controlling

interests in non-banking companies or engage in activities outside the banking sector through such acquisitions. However, banking companies can form subsidiary companies for purposes incidental to banking with prior written approval from the RBI.

Concept 8 - Restrictions on loans and advances (Sections 20 & 21)

8.1 Section 20 establishes restrictions for banking companies regarding loans and advances.

a) Prohibited Loans: Banking companies cannot grant loans to:

- Any of its directors.
- Any firm where a director has an interest.
- Individuals for whom a director stands as a guarantor.

b) Banking companies are also barred from providing loans or advances secured by their own shares.
c) The RBI has the authority to regulate advances by banks in the interest of the public.

8.2 Section 21 empowers the RBI to formulate policies for banks concerning advances, including:

a) Purpose Restrictions: Guidelines on what purposes loans may or may not be granted.
b) Margin Requirements: Specifications for the margins to be maintained for secured advances.
c) Interest Rates: Regulations on the rates of interest charged for advances, other financial accommodations, and commissions on guarantees.
d) Determination of the maximum amount of advance or financial accommodation a bank may issue to a single party, based on the bank's paid-up capital, reserves, and deposits.

Concept 9 - Licensing of banking companies (Section 22)

No banking company can begin or continue banking operations in India without a license from the RBI. The section outlines:

- The necessity of obtaining a license and the application process.
- Conditions for granting licenses.
- Procedures for license cancellation and appeals.

Pre-licensing Conditions: Before granting a license, the RBI may conduct an inspection to ensure:

a) The company can meet its current and future depositors' claims in full.
b) The company's operations will not negatively impact the interests of its depositors.
c) Conducting banking business will be in the public interest and that the company's home country does not discriminate against Indian banking companies. The company must also comply with relevant provisions of the Banking Regulation Act.

License Cancellation: The RBI can cancel a banking company's license if:

a) The company ceases banking operations in India.
b) The company fails to comply with any imposed conditions.

A banking company aggrieved by the RBI's decision can appeal to the Central Government within 30 days, and the Central Government's decision will be final.

Concept 10 - Section 23, 24, 25, 26, 27, 30 and 35A of the Banking Regulation Act, 1949

10.1 Control on the Opening of New Business (Section 23)

No banking company can open a new place of business in India or abroad, nor can it change the location of an existing place of business without prior RBI permission. However, permission is not needed for:

a) Opening a branch in the same city, town, or village.
b) Establishing a temporary place of business for up to 1 month in a city where the bank already operates, particularly for events like exhibitions or fairs.

10.2 Maintenance of a Percentage of Liquid Assets (SLR) (Section 24)

Every Banking company shall maintain in India in liquid assets for an amount not less than such percentage not exceeding 40% of their total time and demand liabilities as on the last Friday of the second proceeding fortnight as notified by the RBI. Liquid Assets include Cash, Gold, Unencumbered approved securities, etc. These assets are to be valued at a price not exceeding the current market price. Current Statutory Liquidity Ratio (SLR) notified by RBI is 18% . As per ICMAI Study Material MCQ, 25%.

10.3 Maintenance of Assets in India (Section 25)

Banking companies are required to maintain assets equivalent to at least 75% of their demand and time liabilities in India as of the close of business on the last Friday of each quarter.

10.4 Submission of Returns of Unclaimed Deposits (Section 26)

Every banking company must submit a return to the RBI detailing unoperated accounts in India for a period of 10 years.

a) The return should be submitted within 30 days after the end of each calendar year.
b) For fixed deposits, the 10-year period starts from the expiry date of the deposit.
c) Regional Rural Banks (RRBs) must send such returns to the National Bank for Agriculture and Rural Development (NABARD).

10.5 Submission of Return, Forms, etc., to RBI (Section 27)

Banking companies must submit a return to the RBI showing their assets and liabilities in India at the end of each month. The RBI may require additional information about the banking company's operations and financial affairs whenever deemed necessary, including - Investments of the bank, Classifications of advances related to different sectors (industry, commerce, agriculture).

10.6 Audit of the Balance Sheet and Profit & Loss Account (Section 30)

Banking companies must prepare their annual accounts according to prescribed formats, and these accounts must be audited. The RBI has the authority to inspect any banking company and its records to ensure compliance with regulations.

10.7 Giving Directions to Banking Companies (Section 35A)

The RBI can issue warnings or prohibitions to banking companies regarding specific operations if it believes it is in the public interest or necessary to prevent any conduct that may be detrimental to depositors' interests or the bank's management. Banking companies are required to comply with these directives.

Concept 11 - Powers of RBI

a) Issuing Directions for Stressed Assets (Section 35AB): The RBI has the authority to direct banks on how to resolve stressed assets and can establish authorities or committees to assist with this process.
b) Prior Approval for Appointments (Section 35B): Banks must obtain prior approval from the RBI for appointing, re-appointing, or removing the Managing Director, chairman, or directors, as well as for any amendments to the bank's Memorandum, Articles, or resolutions.
c) Removal of Managers (Sections 36AA and 36AB): The RBI can remove managerial personnel and other officials from their positions and has the power to appoint additional directors as necessary.
d) Suspension of Board of Directors: If the RBI or the Central Government believes a bank is operating in a manner harmful to depositors or the public interest, they can suspend the bank's Board of Directors. The Central Government can also acquire the bank's operations under such circumstances.
e) Suspension of Business (Section 37): A banking company facing temporary inability to meet its obligations can apply to the High Court for a moratorium, which halts all legal actions against it for up to 6 months. The application must include a report from the RBI confirming that the bank can meet its debts if the moratorium is granted. Without this RBI report, the bank cannot receive a moratorium.

Concept 12 - Winding up of Banking Companies

The Reserve Bank of India (RBI) can apply for the winding up of a banking company under the following conditions:

a) If the bank does not comply with the minimum paid-up capital and reserve requirements specified in Section 11.
b) If the bank is not authorized to conduct business due to lack of a license under Section 22.
c) If the bank has been prohibited from accepting fresh deposits by either the Central Government or the RBI.
d) If the bank fails to comply with any requirements of the Banking Regulation Act and continues to do so after being directed by the RBI.

e) If the RBI believes that a court-sanctioned compromise or arrangement cannot be successfully implemented.
f) If the RBI determines, based on the bank's returns, that it cannot pay its debts or that its ongoing operations are harmful to the interests of depositors.

Voluntary Winding Up: A banking company cannot voluntarily wind up unless it receives a certification from the RBI confirming that it is capable of paying all its debts in full.

Concept 13 - Amalgamation of Banking Companies (Section 44A)

The scheme of amalgamation is to be approved by 2/3 majority of the total voting ratios of the shareholders in a general meeting. The unwilling shareholders are entitled to receive the value of their shares as may be determined by the RBI. The RBI has to sanction the scheme of amalgamation after the shareholders' approval. The assets and liabilities are transferred to the acquiring bank according to the directions of RBI. The RBI issues order for the dissolution of the first bank on a specified date. During preparation of scheme of amalgamations RBI may suspend business with approval with Central Government. As per the amendment in October, 2020, RBI may initiate a scheme for reconstruction and amalgamation without imposing moratorium.

Concept 14 - Role of Reserve Bank of India

The Reserve Bank of India (RBI) plays a crucial role in shaping monetary, banking, and financial policies. Over time, it has evolved from a regulator to a facilitator in the banking sector, leading to various organizational changes and enhancements in its functions.

a) Inspection of Banks: The RBI conducts inspections of banks under the Banking Regulation Act, 1949, to ensure compliance with banking policies and protect the interests of depositors.
b) Regulatory Role: The Department of Banking Operations and Development regulates commercial banks and Local Area Banks (LABs) in accordance with the Banking Regulation Act and the Reserve Bank of India Act. Its responsibilities include:
    i) Licensing and branch expansion
    ii) Maintenance of statutory liquidity reserves
    iii) Management, amalgamation, reconstruction, and liquidation of banks
c) Anti-Money Laundering: The RBI oversees anti-money laundering efforts through the establishment of an Anti-Money Laundering Cell (AML Cell) to combat financing of terrorism.
d) Board-Level Appointments: The RBI approves and monitors appointments at the board level in commercial banks, ensuring compliance with regulations and making recommendations to the government regarding appointments and salary fixation for public sector banks.
e) Branch Licensing: The RBI authorizes Indian commercial banks and LABs to open branches, considers representations from the public regarding branch operations, and periodically reviews branch licensing policies.
f) Banking Policy: The RBI formulates policies and issues prudential guidelines on:
    i) Capital adequacy
    ii) Income recognition
    iii) Asset classification and provisioning
    iv) Implementation of the Basel II framework
    v) Compromise settlements for non-performing assets (NPAs)

g) Issuance of Directives: The RBI issues directives to banks concerning interest rates, account management, and deposit solicitations.
h) Information Dissemination: The RBI collects and disseminates information about defaulting borrowers with significant outstanding amounts classified as 'doubtful' or 'loss.'
i) Monitoring Overseas Operations: The RBI formulates policies for the overseas operations of Indian banks and approves proposals for setting up international branches and joint ventures.
j) Precious Metals Authorization: The RBI regulates gold and precious metal transactions, issuing authorizations for imports and managing related schemes.
k) Offshore Banking Units: The RBI approves and sets guidelines for Offshore Banking Units (OBUs) in Special Economic Zones (SEZs).
l) Industrial and Export Credit Policy: The RBI monitors industrial and export credit, which has been liberalized over time.
m) Regulatory Interpretation: The RBI interprets provisions of banking regulations and examines rules and amendments.
n) Granting Exemptions: The RBI processes applications from banks seeking exemptions from various provisions of the Banking Regulation Act.
o) Foreign Exchange Management: The RBI regulates foreign exchange dealings, ensuring compliance with laws related to capital and current account transactions, and grants authorizations to designated entities.
p) Banker's Bank: The RBI extends loans and advances to commercial banks.
q) Banker to Governments: The RBI acts as a banker to both the Central and State Governments, extending loans and managing government accounts.
r) Payment and Settlement Oversight: The RBI oversees the payment and settlement systems of commercial banks.

Concept 15 – Introduction to SARFESI Act, 2002

The Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002(SARFAESI Act) was enacted to regulate the securitisation and reconstruction of financial assets and the enforcement of security interest. The Act came into force on June 21, 2002. Its primary objectives include enabling banks and financial institutions to:

a) Realize long-term assets
b) Manage liquidity issues
c) Address asset-liability mismatches
d) Improve recovery of loans by taking possession of securities and selling them to reduce non-performing assets (NPAs)

The SARFAESI Act has been amended in 2004 and 2012 to enhance its provisions.

Concept 16 – Important Definitions

a) Asset Reconstruction: Acquisition by any securitisation company or reconstruction company of any right or interest of any bank or financial institution in any financial assistance for the purpose of realizing such financial assistance.
b) Asset Reconstruction Company: An asset reconstruction company is a company registered with the Reserve Bank for the purpose of engaging in asset reconstruction or securitization, or both.

c) Non-performing Asset: A non-performing asset refers to an asset or account of a borrower that has been classified by a bank or financial institution as sub-standard, doubtful, or loss, as per regulatory guidelines.
d) Qualified Institutional Buyer: Qualified institutional buyers are financial institutions, insurance companies, banks, asset reconstruction companies, or other entities authorized to purchase securities from the market.
e) Securitization: Securitization involves an asset reconstruction company acquiring financial assets from an originator, often by issuing securities representing interests in those assets to qualified buyers.
f) Financial Asset: Financial asset refers to debt or receivables and encompasses various forms:

- Claim to any debt or receivables, whether secured or unsecured.
- Debt or receivables secured by a mortgage, charge, or pledge on immovable property.
- Mortgage, charge, hypothecation, or pledge on movable property.
- Right or interest in security underlying debt or receivables.
- Beneficial interest in movable or immovable property, whether existing, future, accruing, conditional, or contingent.
- Beneficial right, title, or interest in any tangible asset given on hire or financial lease, securing the obligation to pay any unpaid portion of the purchase price.
- Right, title, or interest in any tangible asset or intangible asset securing the obligation to pay any unpaid portion of the purchase price or an obligation incurred to acquire such asset.
- Any form of financial assistance

Concept 17 – Registration of Asset Reconstruction Companies (Section 3)

To commence or carry on the business of securitisation or asset reconstruction, a company must obtain a certificate of registration from the Reserve Bank of India (RBI) and maintain owned funds of at least ₹ 300 crore (or a higher amount as specified by the RBI).

Requirements for Registration:

a) The ARC must not have incurred losses in any of the last 3 financial years.
b) It must have adequate arrangements for the realisation of financial assets acquired for securitisation or reconstruction and be able to pay returns to investors on due dates.
c) Directors of the ARC should have adequate professional experience in finance, securitisation, and reconstruction.
d) None of its directors should have been convicted of any offence involving moral turpitude.
e) The sponsor of the ARC must meet the criteria specified by the RBI for fitness and propriety.
f) The ARC should comply with prudential norms laid out by the RBI.
g) The ARC must comply with other conditions specified in the RBI's guidelines.

The RBI may impose additional restrictions or conditions on the registration. Approval from the RBI is required for:

a) Substantial Changes in Management: Includes changes in the Board of Directors, Managing Director, or CEO.
b) Change of Registered Office Location.

c) Change of Company Name.

The RBI's decision on whether a management change is substantial is final.

Concept 18 – Cancellation of Certificate Registration (Section 4)

The RBI has the authority to cancel the registration certificate of an ARC under the following conditions:

a) The ARC ceases to receive or hold investments from qualified institutional buyers.
b) The ARC stops carrying on its asset reconstruction business.
c) The ARC fails to comply with the conditions of its registration.
d) The ARC does not fulfil specific conditions outlined in Section 3.
e) The ARC fails to adhere to directions issued by the RBI.
f) The ARC fails to maintain proper accounts.
g) The ARC does not submit documents during RBI inspections.
h) The ARC does not obtain RBI approval for any substantial changes in its management.

Before cancellation, the RBI must provide the ARC an opportunity to comply with the provisions or conditions specified, allowing the company to rectify any issues

Concept 19 – Acquisition of Rights or Interest in Financial Assets (Section 5)

An Asset Reconstruction Company (ARC) has the authority to acquire financial assets from any bank or financial institution, regardless of existing agreements or other laws, through the following methods:

a) Issuance of Securities: The ARC may issue debentures, bonds, or other securities resembling debentures. The terms and conditions for these securities must be mutually agreed upon by the ARC and the bank or financial institution.
b) Transfer Agreements: The ARC can enter into agreements with banks or financial institutions for the transfer of financial assets. The specific terms and conditions of these agreements are also subject to mutual consent.

Stamp Duty Exemption: Any document executed by a bank or financial institution in favour of the ARC for acquiring financial assets is exempt from stamp duty, as per the Indian Stamp Act provisions.

Concept 20 – Measures for Asset Reconstruction (Section 9)

An asset reconstruction company may for the purposes of asset reconstruction, provide for any one or more of the following measures, namely:

a) Change or take over the management of the borrower's business.
b) Sell or lease part or all of the borrower's business.
c) Reschedule the repayment of the borrower's debts.
d) Enforce security interests as per the Act.

e) Settle the borrower's dues.
f) Take possession of secured assets in accordance with the Act.
g) Convert any portion of the borrower's debt into shares of the borrower company. This conversion is valid at all times.

The Reserve Bank of India (RBI) will set the policy and issue directions for these measures, including regulating the management of the borrower's business and fees to be charged. ARCs must follow RBI's directions.

Concept 21 – Additional Roles and Regulations for ARCs (Section 10)

a) ARCs can act as agents for banks or financial institutions to recover dues from borrowers, with mutually agreed fees.
b) ARCs cannot act as managers if it leads to any financial liability.
c) ARCs can act as managers for functions outlined under Section 13, with mutually agreed fees.
d) ARCs can serve as receivers if appointed by a court or tribunal.
e) ARCs cannot engage in any business other than securitisation or asset reconstruction without prior approval from the RBI.
f) ARCs must stop any other business activities within one year of the commencement of this Act.
g) The term 'securitisation company' or 'reconstruction company' does not include subsidiaries.
h) RBI can request information, conduct audits, and inspect ARCs.
i) RBI will set policies and issue directions to ARCs.

Dispute Resolution (Section 11) :

Disputes related to securitisation, reconstruction, or non-payment among banks, financial institutions, ARCs, or qualified institutional buyers will be resolved through conciliation or arbitration as per the Arbitration and Conciliation Act, 1996. It is assumed that all parties have consented to this method of dispute resolution in writing, and the Act's provisions will apply accordingly.

Concept 22 – Enforcement of Security interest (Section 13)

a) Direct Enforcement: Secured creditors have the right to enforce security interests directly, without needing court or tribunal involvement, as per the Act's provisions.
b) Default and Notice: If a borrower defaults on their loan, and the debt is classified as a non-performing asset (NPA), the secured creditor can issue a written notice. This notice demands full repayment within 60 days, listing the amount due and the assets that will be enforced if payment isn't made.
c) Secured Creditor's Rights After Default: If the borrower fails to repay within 60 days, the secured creditor has several options:

- Take possession of the secured assets.
- Take control of the borrower's business management.
- Appoint a manager to manage the secured assets.
- Demand payment from third parties who owe money to the borrower.

d) Legal Immunity for Payments: Any payments made to the secured creditor by third parties (like a borrower's customer) legally discharge them from further obligations. If the creditor buys the asset during a sale, the purchase price can be adjusted against the borrower's dues.
e) Transfer of Rights: If the secured creditor takes over the borrower's business or transfers an asset, the transferee receives all the rights as if the borrower had made the transfer.
f) Costs and Proceeds: Any costs the secured creditor incurs (e.g., legal fees or management costs) can be recovered from the borrower. Any proceeds from selling the assets will first go towards settling the creditor's dues.
g) Borrower's Rights Before Sale: If the borrower repays all dues and costs before the asset is sold, the secured assets cannot be sold by the creditor.
h) Joint Financing: In cases of joint financing, the secured creditor can enforce rights only with the consent of creditors holding at least 60% of the outstanding value of the loan.
i) Company Liquidation: If a company is being wound up, the secured creditor can retain proceeds from the asset sale after settling any outstanding dues to the company's workers.
j) Unpaid Dues: If the sale of the assets doesn't fully cover the debt, the secured creditor can approach the Debts Recovery Tribunal or court to recover the remaining balance.
k) Rights Against Guarantors: Secured creditors can also take action against guarantors or sell pledged assets, even if they are pursuing other recovery actions simultaneously.
l) Delegation of Rights: The secured creditor can authorize officers to carry out enforcement actions on their behalf.
m) Restriction on Borrower's Transfers: After receiving the notice, the borrower cannot transfer any secured assets without the written consent of the secured creditor.

Concept 23 – Manner and Effect of Takeover of Management (Section 15)

When the secured creditor (or ARC) takes over the management of a borrower's business:

i) If the borrower is a company: The ARC can appoint as many people as needed to act as directors.
ii) If the borrower is not a company: The ARC can appoint administrators to manage the business.

a) After taking over, the secured creditor must publish a notice in a newspaper in English and a newspaper in the local language of the area where the borrower's principal office is located.
b) Upon publishing the notice, all existing directors or administrators of the business are deemed to have vacated their positions. This also terminates any contracts the borrower had with these directors or administrators.
c) After the takeover, shareholders cannot nominate or appoint new directors without the approval of the secured creditor.
d) No court can begin winding-up proceedings or appoint a receiver for the company without the secured creditor's consent.
e) Once the secured creditor has fully recovered its dues, it must restore control of the business back to the borrower.
f) Directors, managing directors, managers, or individuals in charge of the borrower's management are not entitled to compensation for loss of office under this Act. (Section 16)

Right to Appeal to Debt Recovery Tribunal (DRT) (Section 17)
Borrowers or any aggrieved party can appeal against secured creditors' actions to the relevant Debt Recovery Tribunal.

Appeal to Appellate Tribunal (Section 18)

Anyone dissatisfied with a DRT's decision can appeal to an Appellate Tribunal within 30 days. However, the appeal can only proceed if the borrower has deposited at least 50% of the debt claimed by secured creditors or determined by the DRT, whichever is lower. The Appellate Tribunal can reduce this amount, but not below 25%, for valid reasons